

Name: _____



Sales and marketing

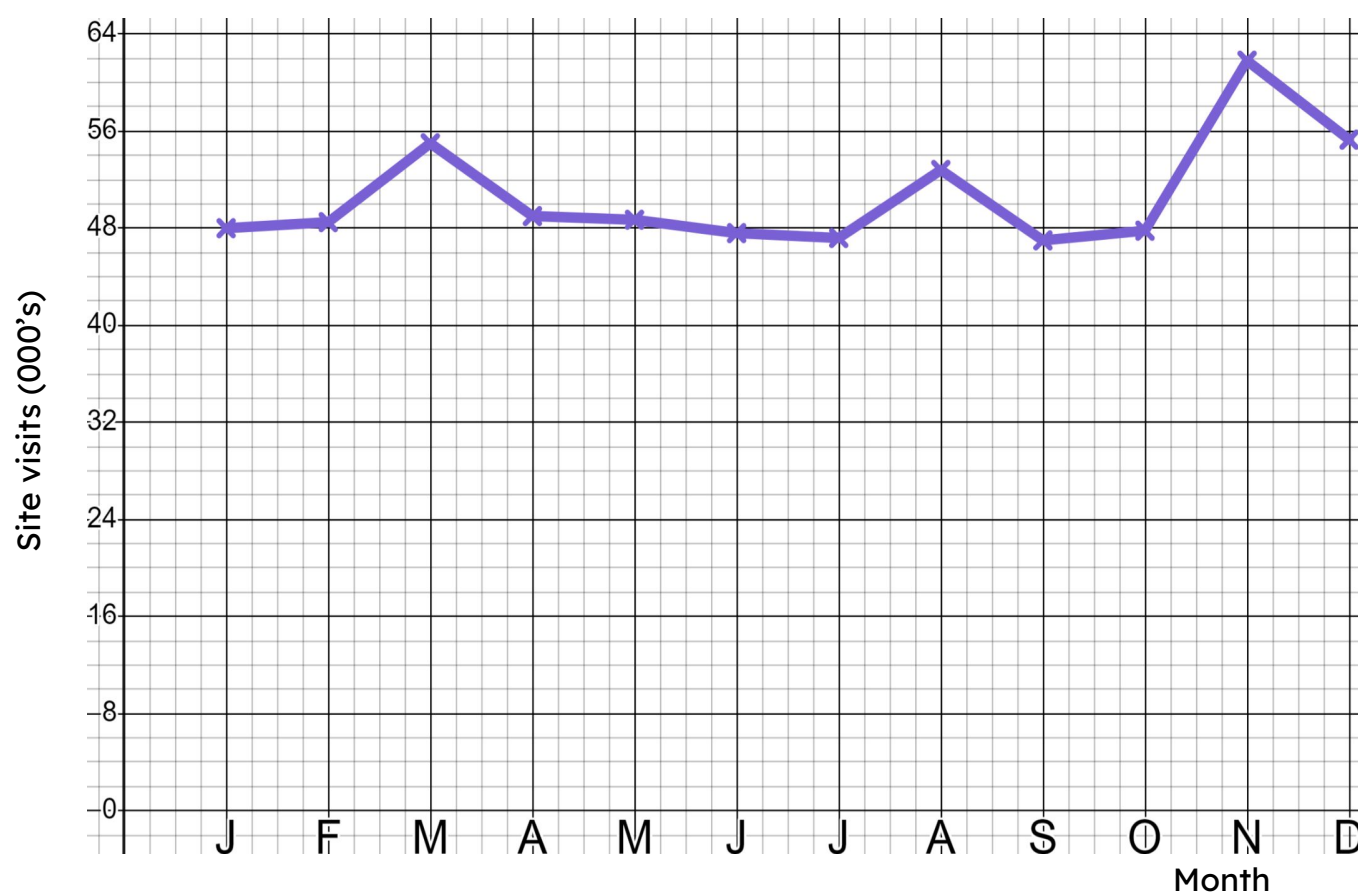
Task A: Maths in marketing

1) 'Sam's Sleepwear' is now well established in the bedwear marketplace. On three occasions in this year they spent just under £5000 on online advertising campaigns.

When were those campaigns?

Which one was the most effective?

How do you know?



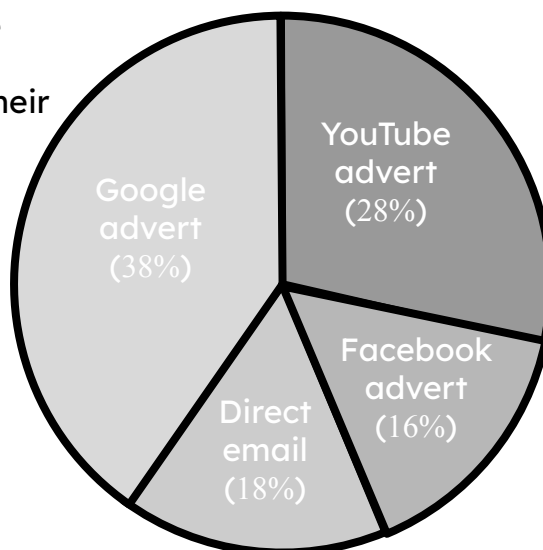
2) 'Sam's Sleepwear' is now well established in the bedwear marketplace. They spend the below on advertising and generate 14 000 extra visitors to their website.

YouTube £1100
Direct email £350

Facebook £500
Google £2500

They now make a sale from 1 in 40 visitors and an average of £14 per sale.

Calculate which form of media is the most **profitable** and advise Sam as to where to spend their next advertising budget.



Task B: Maths in sales

1) Jun is CEO of a sweet manufacturer that sold 36 000 packets of sweets last year at £1.80 a packet. Their manufacturing cost is £0.60 per unit.

a) Calculate Jun's current revenue and **profit**.

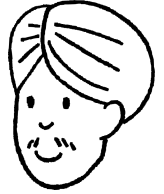


b) If Jun could double his sales by halving his price should he?

c) If Jun could increase his sales by a third by reducing his price by one third should he?

2) Andeep is a commercial accountant for a guitar manufacturer that sells 1200 units a year at £600 per unit and costs £480 per unit to make.

Which of the below are good commercial deals?



a) 5% uplift in sales for a 10% drop in price?

b) 50% uplift in sales for a 15% drop in price?

c) 10% drop in sales for a 5% increase in price?

d) If Andeep were to drop his price by 12% what percent uplift in sales would he need to see to maintain his existing **profit**?